Share of new partner

Jeyam $= \frac{1}{4}$

In order to equalise the denominator, multiply and divide by 3

Jeyam's share $= \frac{1}{4} \times \frac{3}{3} = \frac{3}{12}$

New profit sharing ratio of Vimal, Athi and Jeyam = $\frac{6}{12} : \frac{3}{12} : \frac{3}{12}$ that is, 2:1:1

Illustration 17

Anil, Sunil and Hari are partners in a firm sharing profits in the ratio of 4:3:3. They admit Raja for 20% profit. Calculate the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Old ratio of Anil, Sunil and Hari = 4:3:3 or $\frac{4}{10} : \frac{3}{10} : \frac{3}{10}$

Raja's share of profit = 20% or 20/100 or 1/5

Let the total share be 1

Remaining share $= 1 - \frac{1}{5} = \frac{5-1}{5}$

$= \frac{4}{5}$

New share of old partners = Remaining share × Old share

Anil $= \frac{4}{5} \times \frac{4}{10} = \frac{16}{50}$

Sunil $= \frac{4}{5} \times \frac{3}{10} = \frac{12}{50}$

Hari $= \frac{4}{5} \times \frac{3}{10} = \frac{12}{50}$

Share of new partner

Raja $= \frac{1}{5}$

In order to equalise the denominator, multiply and divide Raja's share by 10

Raja's share $= \frac{1}{5} \times \frac{10}{10} = \frac{10}{50}$

New profit sharing ratio of Anil, Sunil, Hari and Raja = $\frac{16}{50} : \frac{12}{50} : \frac{12}{50} : \frac{10}{50}$ that is, 8:6:6:5.
Sacrificing ratio = 4:3:3

5.6 Adjustment for goodwill

Reputation built up by a firm has an impact on the present profit and future profit to be earned by the firm. At the time of admission of a partner, the existing partners sacrifice part of their

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